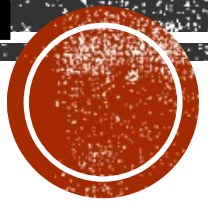
COMPETITION IN BUSINESS: HOW MARKET STRUCTURE SHAPES STRATEGY



WHY COMPETITION MATTERS



• Drives efficiency and innovation



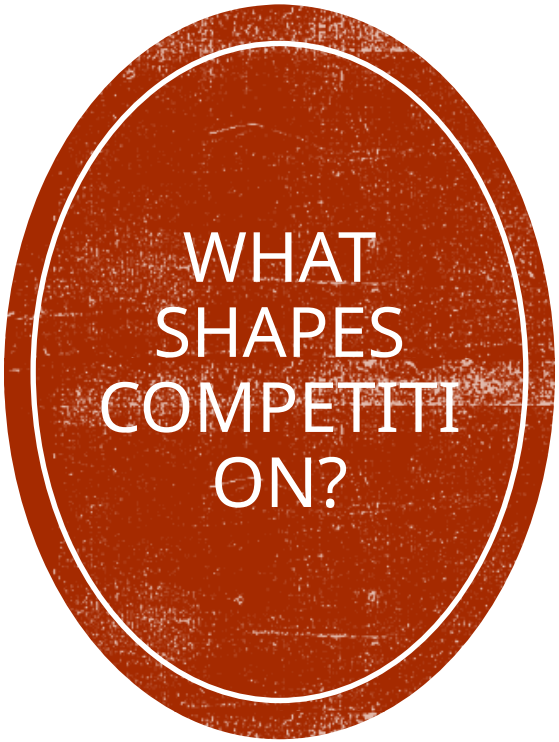
• Controls prices and quality



• Increases consumer welfare



• Determines firm profitability and survival



- Number of firms
- Product differentiation
- Barriers to entry/exit
- Information transparency
- Regulation and technology

MARKET STRUCTURES OVERVIEW

- Perfect Competition – Many firms, identical products
- Monopolistic Competition – Many firms, differentiated products
- Oligopoly – Few firms dominate
- Monopoly – One firm controls the market

Khan Academy - Types of competition





- Many firms, identical products
- Free entry/exit, perfect information
- Price takers, normal profit in long run

Examples: agriculture, commodities

MONOPOLISTIC COMPETITION

- Many firms, differentiated products
- Some price-setting power
- Heavy focus on marketing
- Examples: cafés, hair salons, clothing brands



- Few dominant firms
- High barriers to entry
- Interdependent pricing decisions
- Potential collusion or price wars

Examples: airlines, smartphones, streaming services

GAME THEORY



The mathematical study of strategic interactions between two or more "players," where each player's outcome depends on the choices made by all participants.



It provides a framework for analysing situations with interdependent decision-making, finding applications in economics, biology, politics, and computer science, among other fields.



A central concept is the "Nash equilibrium" - A state where each player has chosen their strategy, and no player can benefit by changing their strategy, assuming the other players' strategies remain the same.

KEY CONCEPTS:



Players: The participants in the game.



Strategies: The set of choices available to each player.



Payoffs: The outcome or reward each player receives at the end of the game.



Interdependence: The core principle that a player's outcome is influenced by the strategies of other players.



APPLICATIONS

- **Economics**: Analysing market competition, the stock market, and auction design.
- **Politics**: Understanding voting behaviour, tax policy, and international relations.
- **Biology**: Studying evolutionary adaptation and animal behaviour.
- **Business**: Developing pricing strategies, managing negotiations, and analysing mergers.
- **Computer Science**: Creating algorithms for artificial intelligence and network design.



EXAMPLE: THE PRISONER'S DILEMMA

- Two suspects are arrested and interrogated separately. They can either cooperate (stay silent) or betray the other suspect.
- If both stay silent, they both receive a short sentence.
- If one betrays the other, the betrayer goes free while the other receives a very long sentence.
- If both betray each other, they both receive a moderate sentence.
- The "dominant strategy" for each individual is to betray the other, as this results in a better outcome for them regardless of what the other prisoner does. However, if both act rationally on this, they both end up with a worse outcome than if they had both cooperated.

ACTIVITY A — PRICING GAME (GAME THEORY)

Firms A & B choose price: High or Low

Payoffs:

- Both High: (3,3)
- One Low, one High: (5,0)
- Both Low: (1,1)

- See separate handout



- Single firm dominates market
- High entry barriers
- Price setter – reduced consumer surplus

Examples: utilities, patented drugs

BARRIERS TO ENTRY

Structural: economies of scale, capital needs

Strategic: advertising, limit pricing

Legal: patents, licenses

Network effects: platform dominance – look at in a minute

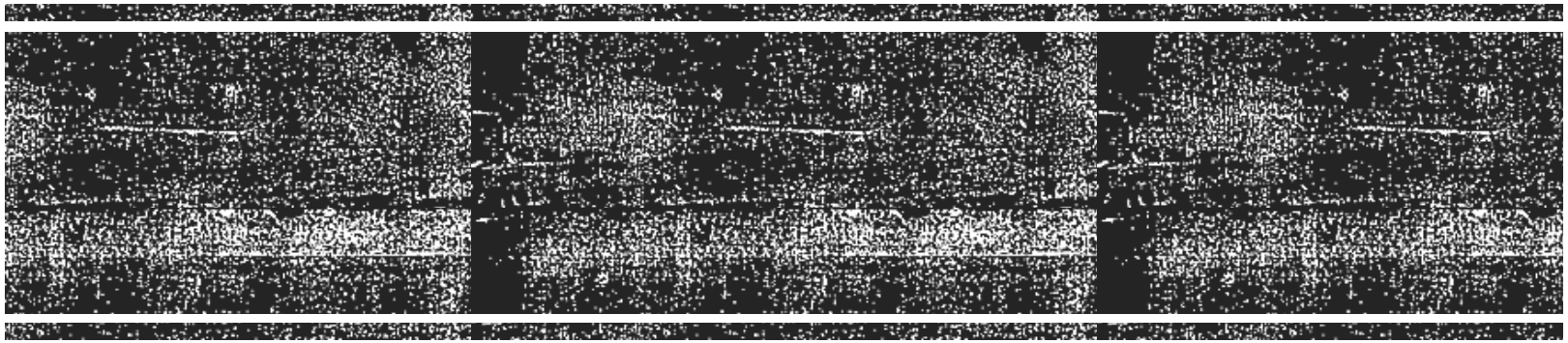
CONTESTABLE MARKETS

- Few firms can act competitively if entry/exit is easy.
- Example: budget airlines, local gyms



THEORY OF CONTESTABLE MARKETS

Market behaviour is shaped by the threat of potential entry from new firms, not just by the current number of competitors. Key features include a large pool of potential entrants and low barriers to entry and exit, especially low sunk costs, which means incumbent firms must operate efficiently to avoid being undercut by "hit and run" competitors. This can lead to competitive outcomes like lower prices and higher output, even in markets with few firms.



The theory shifts the focus from "competition **in** the market" to "competition **for** the market," emphasizing the power of potential entrants.

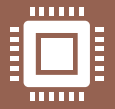
KEY CHARACTERISTICS



Low entry/exit barriers: Sunk costs are minimal, making it easy and inexpensive for new firms to enter and exit the market.



Large pool of potential entrants: There are many firms capable of entering the market.



Perfect information: New entrants have easy access to the technology and information of incumbent firms.



IMPACT ON INDUSTRY STRUCTURE

- Market behaviour: Firms in a contestable market will behave as if they were in a more competitive environment, regardless of the number of firms currently in the industry.
- Monopolies: A monopoly can be contestable if the threat of entry exists, forcing the monopolist to price competitively and act as if it were facing a competitive market.
- Regulation: The theory provides a framework for understanding how to regulate markets, suggesting that policies should focus on reducing barriers to entry and exit rather than on the number of firms.

CASE STUDY — GERMAN SUPERMARKETS

- Discounters (Aldi/Lidl): cost leadership
- Full-line stores (Edeka/Rewe): differentiation
- Barriers: logistics, data, supplier relations
- The market's defining traits are **low margins**, **operational excellence**, and **intense price competition**. Yet both cost-focused and service-focused models coexist successfully.

ALDI / LIDL — COST LEADERSHIP MODEL

Strategic Logic:
Achieve market share through efficiency and scale, passing savings to consumers.

- **Key practices:**
- **Limited assortment** (~1,500 – 2,000 SKUs (Stock keeping units)) → simplifies logistics and purchasing.
- **Private labels dominate** (80–90%) → control quality and costs.
- **Standardized layouts** → faster stocking, lower labour costs.
- **Centralised purchasing** → massive bargaining power.
- **Minimal advertising** → rely on “Everyday Low Price” reputation.
- **Tight cost control** → simple packaging, limited staff, energy efficiency.

OUTCOME:

High turnover, strong price perception, and steady expansion across Europe. Aldi & Lidl have even moved upmarket with organic lines and premium labels while keeping a discount image.

EDEKA / REWE — DIFFERENTIATION MODEL

Strategic Logic:
Create value through breadth, quality, and service, capturing consumers who trade up from discounters.

- **Key practices:**
- **Wide product range** (20,000 + SKUs) including national brands and local specialties.
- **Fresh counters & service departments** (bakery, deli, butcher).
- **Strong local branding** (Edeka's cooperative structure supports regional identity).
- **Customer loyalty programs** (Payback, own-brand apps).
- **Omnichannel presence:** click-and-collect, delivery, Rewe Online.
- **Store experience:** attractive lighting, wide aisles, in-store cafés.



Higher margins, strong brand loyalty, and urban middle-class appeal. Edeka is Germany’s largest food retailer by revenue.

GROUP TASK



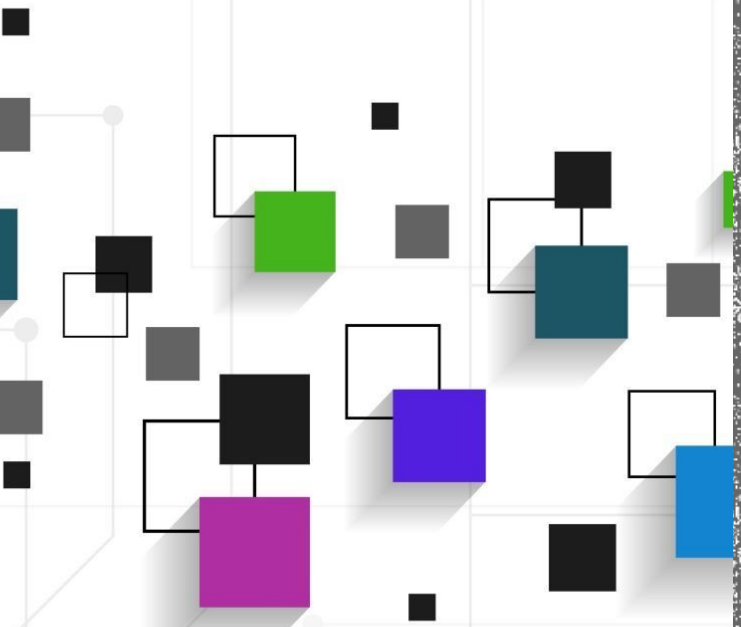
You are a group of successful entrepreneurs who are seeking funding for a new venture moving into the German supermarket industry. Given everything that we have learned about the Industry prepare a 5 min (approx) presentation to a group of funders which:

- describes some of the different strategies that you could employ to enter this market, and,
- explains which of these you have chosen and why.

PLATFORMS & NETWORK EFFECTS

- Digital platforms dominate modern markets
- Two-sided interactions: users and providers
- Its key feature is that the value of the platform increases as more people use it - that's the network effect.
- These network effects can reshape competition — often leading to winner-takes-most markets.

Examples: Amazon, Uber, app stores



Give me some examples of networks

Which platforms do you use daily and why do you stay on them?

Type	Platform	Interacting Groups
Marketplace	Amazon, eBay	Buyers & Sellers
Social	Instagram, TikTok	Users & Advertisers
Transport	Uber, Lyft	Riders & Drivers
App Store	Apple App Store, Google Play	Developers & Users
Payment	Visa, PayPal	Merchants & Cardholders



WHAT ARE NETWORK EFFECTS?

Direct Network Effects

- Value of a service increases as more users join.
  Example: WhatsApp → the more people on it, the more useful it is.

Indirect (Cross-Side) Network Effects

- Value to one group depends on the size of another group.
  Example: App developers join Android because there are many users; users join because there are many apps.

Analogy:
It's like a positive feedback loop — growth on one side attracts the other, which fuels even more growth.

HOW NETWORK EFFECTS SHAPE COMPETITION

a) Positive Feedback → Market "Tipping"

Once one platform reaches a **critical mass**, it can dominate — smaller rivals struggle to attract users.
Example: Facebook vs. early social networks like MySpace.

b) High Barriers to Entry

New entrants face a **chicken-and-egg problem** — users won't join until others do.
Thus, early leaders often lock in their position.

c) Multi-Homing and Switching Costs

Users may use multiple platforms ("multi-home"), but if switching becomes costly (e.g., losing followers, apps, or data), competition weakens.

d) Data Advantage

Platforms with more users collect **more data**, improving algorithms and personalization — reinforcing dominance (the **data network effect**).

BUSINESS STRATEGY IMPLICATIONS

01

Subsidize one side: Many platforms start by offering one side a free or cheap service (e.g., free use for users, fees for sellers).

02

Encourage engagement: The goal is not just sign-ups, but **active participation** to maintain network value.

03

Scale fast: "First-mover advantage" matters because once users pick one platform, they rarely switch.

04

Platform governance: Firms must manage trust, fairness, and quality among users (e.g., content moderation, fraud prevention).

REGULATION & COMPETITION POLICY

Network effects can **reduce competition** — leading to monopolistic dominance.

Examples:

- **App stores** controlling developer access and fees.
- **Social networks** influencing information flow.
- **Digital ads** dominated by a few tech giants.

Regulatory responses:

- Antitrust investigations (EU vs Google, US vs Meta).
- Data portability and interoperability rules.
- New “Digital Markets Acts” to ensure fairness and open access.



PORTER'S FIVE FORCES VS MARKET STRUCTURE

Market structure = competition type

Five Forces = industry profitability

Used together for strategic analysis

THE TWO FRAMEWORKS — AT A GLANCE

Market Structure (Economics)

Describes how many firms exist and how they compete (perfect competition → monopoly).

Focuses on structural features of the market: number of firms, product differentiation, barriers to entry.

Answers: *"What is the nature of competition?"*

Used in industrial organization economics.

Porter's Five Forces (Strategy)

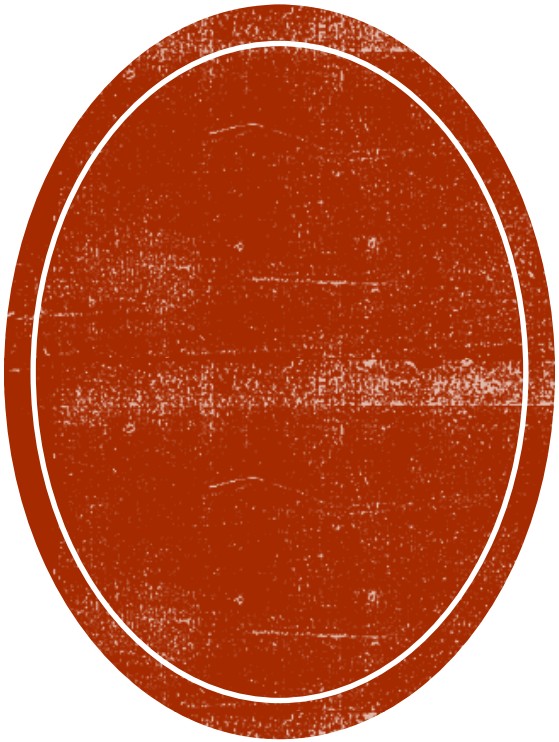
Explains why some industries are more profitable than others.

Focuses on competitive pressures: threat of new entrants, supplier/buyer power, substitutes, and rivalry.

Answers: *"Where does profitability come from, and how can a firm improve it?"*

Used in strategic management and corporate planning.





Why Companies Use Both

Firms need to understand **market structure** to grasp the *rules of competition*, and use **Five Forces** to craft *strategic responses* within those rules.

Goal	Market Structure helps firms…	Five Forces helps firms…
Assess competitive intensity	Identify whether rivalry is strong (e.g., oligopoly) or weak (e.g., monopoly).	Diagnose *specific pressures* driving competition (price wars, substitutes, etc.).
Anticipate profitability	Estimate if profits will be competed away (perfect competition) or sustained (monopoly).	Understand *who captures value*: suppliers, buyers, or the firm.
Guide strategic focus	Reveal structural constraints (entry barriers, regulation).	Suggest tactics to improve position (differentiate, integrate, innovate).
Evaluate industry change	Show how structure evolves with technology or consolidation.	Show how new entrants or substitutes alter power dynamics.



EXAMPLE — GERMAN SUPERMARKETS (CONNECTING TO EARLIER CASE)

Market Structure View:

- **Oligopoly:** A few large players dominate (Aldi, Lidl, Edeka, Rewe).
- **High entry barriers:** Economies of scale, real estate constraints, and logistics.
- **Price sensitivity:** Competition keeps margins thin.

Structural insight: Difficult for new entrants to gain market share or sustain profits.

PORTER'S FIVE FORCES VIEW

Force	Example Insight
1. Rivalry among competitors	Very high — frequent price promotions and efficiency races.
2. Threat of new entrants	Low — high barriers to entry (land, capital, brand trust).
3. Supplier power	Moderate — but major retailers have strong negotiation leverage.
4. Buyer power	High — consumers are price sensitive and have many alternatives.
5. Threat of substitutes	Moderate — restaurants, delivery apps, and convenience stores.



APPLE AND THE SMARTPHONE MARKET

MARKET STRUCTURE VIEW	FIVE FORCES VIEW	STRATEGIC OUTCOME
Oligopoly — Apple, Samsung, a few others dominate.	Threat of new entrants low; buyer power moderate; supplier power limited; substitutes moderate; rivalry moderate-high.	Apple uses differentiation (brand, ecosystem) to sustain margins despite competitive structure.
High barriers (tech, brand, patents).	Rivalry exists, but brand loyalty softens price competition.	Structure limits entrants; strategy maximizes value capture.